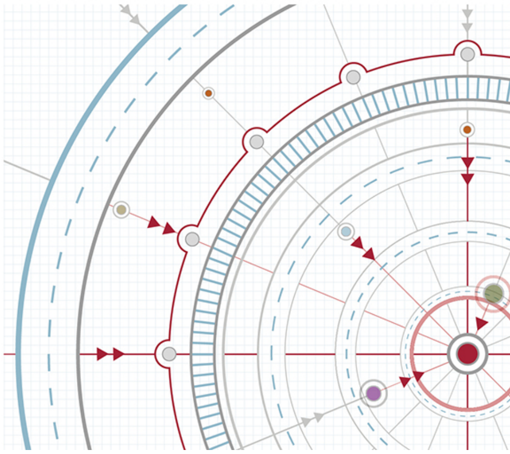
IFRS® Foundation



IASB Update

Mary Tokar, Board Member
International Accounting Standards Board

June 2019

The views expressed in this presentation are those of the presenter, not necessarily those of the International Accounting Standards Board or IFRS Foundation.

IFRS

Agenda

- IASB agenda priorities and evolution of structure
- Update on some major projects:
  - – Disclosure initiative
  - – Primary financial statements
  - – Management commentary practice statement/broader financial reporting
- The *IFRS for SMEs*: strategy and update
- (Some) Other active projects
  - – Insurance – supporting consistent application
  - – IBOR reform: addressing emerging issues
  - – Goodwill and impairment
  - – Accounting policies and estimates
- Workplan snapshot

IFRS

IASB agenda, priorities and structure

IFRS

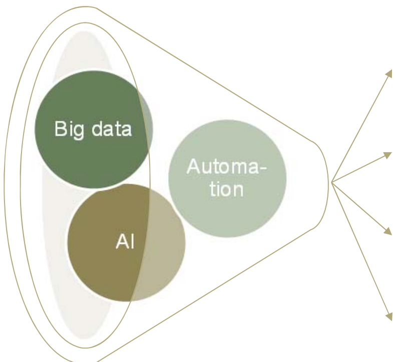
Strengthening the standard-setting process and product

Discipline re delivery	• Realistic but robust timelines • Avoiding scope creep • Better problem definition and feasibility assessment during research phase
Full lifecycle	• Agenda setting • Standard setting • Supporting implementation • PIR
From adoption to implementation	• Initial focus: country adoption of IFRS Standards (see, who uses IFRS Standards) • Business as usual: more focus on supporting implementation (IC, major new standards) and ongoing stakeholder engagement (eg regional bodies like AOSSG, EEG, WSS)

IFRS

Technology landscape — Implications for the IFRS Foundation

1. Scoping



- Accounting and Reporting
- Consumption of financial reports
- Standard-setting process
- Digital experience

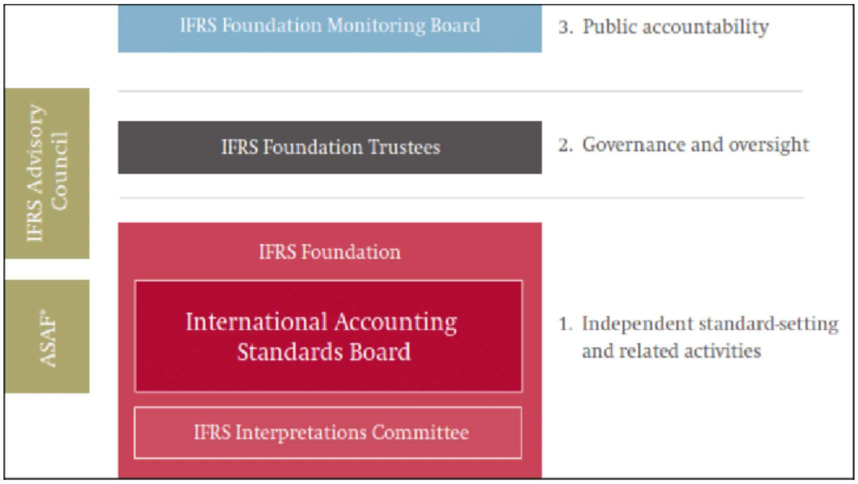
2. Strategy development

3. Execution

Different times, different priorities

- 2001 — First-time adoption
- 2006 — Strengthen and converge
- 2011 — ‘Big 4’ and CF
- 2016 — Support implementation, fill gaps
- 2021 — ?

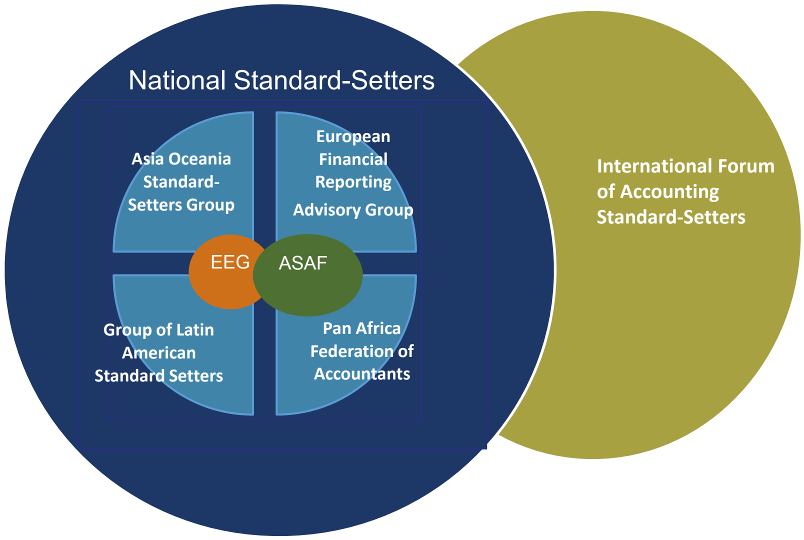
Our structure



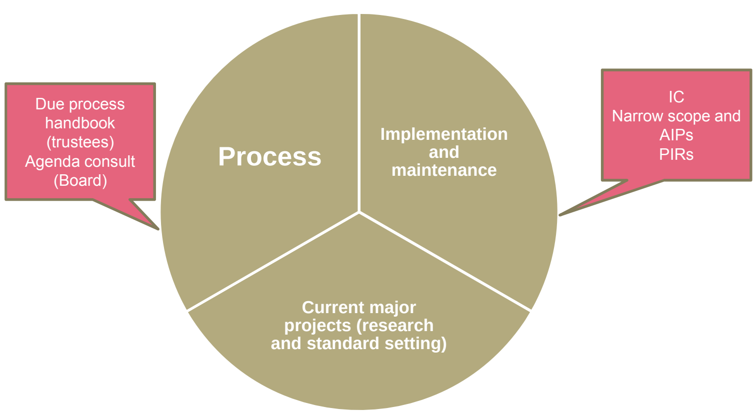
How we engage with stakeholders

Some relationships are covered by a Memorandum of Understanding; some are constitutional; others are less formal

Working with National Standard-Setters



Activity overview



IFRS® Foundation

Update on Better Communications projects

IFRS

Central theme of the Board's work

Better Communication in Financial Reporting

	Financial statements		Information outside financial statements
Content	Primary Financial Statements	Disclosure Initiative	Management Commentary
Delivery	IFRS Taxonomy		

IFRS

Primary Financial Statements

Objective:
targeted improvements to the primary financial statements
with a focus on the structure of statement(s) of financial performance

2015	Dec 2016	2017–2019	H2 2019
Agenda Consultation identified project as a priority	Board decision on project scope	Board discussions on topics in project scope	Publish Exposure Draft

Stakeholder feedback and key tentative Board decisions

Stakeholder feedback	Tentative Board decision
Users: Statements of financial performance are not sufficiently comparable between different companies	Introduce **defined subtotals** in the statement(s) of financial performance
Users: Non-GAAP measures can provide useful information, but transparency needs to be improved Preparers: I need flexibility to tell my company's story	Introduce disclosure of **Management Performance Measures**
Users: There is insufficient disaggregation in financial statements	Introduce **requirements to improve disaggregation**

Full scope of the project

Statement(s) of financial performance	Statement of cash flows
Introducing subtotals & categories facilitating comparisons between entities: • Operating, investing and financing categories • Presentation of share of profit of associates/JVs	Eliminating classification options (interest/dividends)
Introducing disclosure of management performance measures	Introducing consistent starting point for the indirect method
Improving communication of OCI	Prescribing classification of cash flows related to associates/JVs

Improving disaggregation in financial statements by:
Introducing principles of disaggregation in financial statements
Requiring disaggregation by nature or by function in the statement(s) of financial performance
Requiring disclosure of unusual items
Requiring minimum line items in the primary financial statements
Developing illustrative examples of primary financial statements for a small number of industries

Introducing required and defined subtotals in P&L
(example for general corporates, analysis of expenses by nature)

	Revenue	16,500	Operating
	Changes in inventories of finished goods and work in progress	(1,000)	Operating
	Raw material and consumables used	(6,000)	Operating
	Employee benefits expense	(4,000)	Operating
	Amortisation expense	(800)	Operating
	Depreciation expense	(1,200)	Operating
	Impairment of property, plant and equipment	(500)	Operating
1	**Operating profit**	**3,000**	
	Share of profit of **integral** associates and JVs	500	
2	**Operating profit and share of profit or loss of integral associates and JVs**	**3,500**	
	Changes in the fair value of financial assets	250	Investing
	Dividend income	50	Investing
	Share of profit of **non-integral** associates and JVs	100	Investing
3	**Profit before financing and income tax**	**3,900**	
	Interest income from cash and cash equivalents	100	Financing
	Expenses from financing activities	(1000)	Financing
	Unwinding of discount on pension liabilities and provisions	(100)	Financing
	Profit before tax	2,900	

Management performance measures (1)

Preparers: I need flexibility to tell my company's story

Tentative Board decisions

- Identify a measure (or measures) of profit that, in management's view, communicates the financial performance of the entity.
- This measure might be a subtotal or total specified by IFRS Standards, but could be a **management performance measure** (MPM) that complements those subtotals or totals.
- If entities identify MPMs, they will usually be disclosed in the **notes,** because few will fit the structure of the statement(s) of financial performance
- Include as MPMs only **if use same measure** outside financial statements

Management performance measures (2)

Users: Non-GAAP measures can provide useful information, but transparency needs to be improved

Tentative Board decisions

- Disclose a **reconciliation** in the **notes** between the MPM and the most directly comparable subtotal/total specified by IFRS Standards (*not* as a column on the face)
- Disclose the **effect on tax and non-controlling interests** separately for each reconciling item
- Explain any **differences** between MPMs and **segment** measures
- **Describe why** the MPMs provide management's view of performance and **how** they have been **calculated**
- **Label** MPMs in a **clear** and **understandable** way
- Explain any **changes over time** in calculation of MPMs

Example of MPM reconciliation

The MPM is disclosed in a **separate reconciliation** in the **notes**:

Adjusted operating profit (MPM)	4,400	Tax	NCI
Restructuring expenses for the closure of Factory A	(1,000)	200	50
Impairment of asset B	(400)	80	-
Operating profit (IFRS-specified)	3,000		

Any auditability concerns?

Most directly comparable subtotal/total specified by IFRS Standards
– can be:
- any of the subtotals required by para. 81A of IAS 1;
- any of the three subtotals proposed in this project;
- profit before tax, profit from continuing operations or gross profit; or
- operating profit before depreciation and amortisation—this means entities are unlikely to be required to disclose tax and NCI for depreciation and amortisation.

Disclosure Initiative—the disclosure problem

- The Board has identified three main concerns about disclosures in financial statements:
  - not enough relevant information
  - too much irrelevant information
  - ineffective communication

enabling preparer judgement + improved disclosure requirements = improved disclosures & better communication

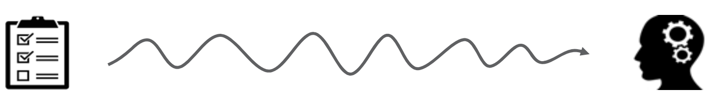
Disclosure Initiative—completed projects

- Amendments to IAS 1 and IAS 8—Definition of Material
- Materiality Practice Statement
- Better Communication Case Studies
- Amendments to IAS 1 to remove barriers to application of judgment
- Amendments to IAS 7 to improve disclosure of changes in liabilities (including non-cash flows) in financing activities

Disclosure Initiative—Definition of Material (Amendments to IAS 1 and IAS 8)

New definition

Information is material if **omitting, misstating or obscuring** it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity



Some thought the threshold 'could influence' was too low and could be applied too broadly	Replaced with 'could reasonably be expected to influence'*
Focused only on information that cannot be omitted (material information)	Includes 'obscuring' to clarify that the effect of including immaterial information should also be considered*
Referred to 'users' but did not specify their characteristics	Uses the wording of the definition in the Conceptual Framework

*Consistent with existing requirements in IAS 1 *Presentation of Financial Statements*

Disclosure Initiative—
Materiality Practice Statement

IFRS Practice Statement 2 *Making Materiality Judgements*

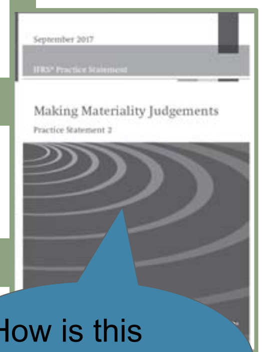
Gathers in one place all the requirements on materiality from IFRS Standards and adds practical guidance and examples

Objective

Provides reporting entities with guidance on making materiality judgements when preparing financial statements in accordance with IFRS Standards

Form of the guidance

The Practice Statement does not change any existing requirements nor introduce any new requirements; it non-mandatory document developed by the Board



How is this being used in practice?

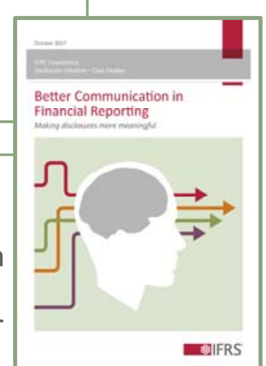
Disclosure Initiative—
Better Communication case studies

Objective

- demonstrate that **better communication is already possible**
- inspire others to improve communication

Content

- focuses on the **seven principles of effective communication** from the Principles of Disclosure Discussion Paper
- shows how companies disclosed information before and after enhancing communication in their financial statements.
- **describes** how companies improved the way they communicate **(the process)**



Disclosure Initiative—Principles of Disclosure

Objective

- identify disclosure issues

Main outcomes

- added a project on **targeted standards-level review of disclosures**
- added a project to help entities apply materiality judgments to **accounting policy disclosure**
- consider broader implications of technology for financial communication in the Board’s Technology Initiative
- consider performance measures topic in the Board’s Primary Financial Statements project

Disclosure Initiative—Targeted Standards-level Review of Disclosures

Objective

- help stakeholders improve the usefulness of disclosures for the primary users of financial statements
- develop guidance for the Board to use when developing and drafting disclosure objectives and requirements (as a set of Board decisions)
- **not an objective to change the volume of disclosure requirements**, although this may be a consequence

Next steps

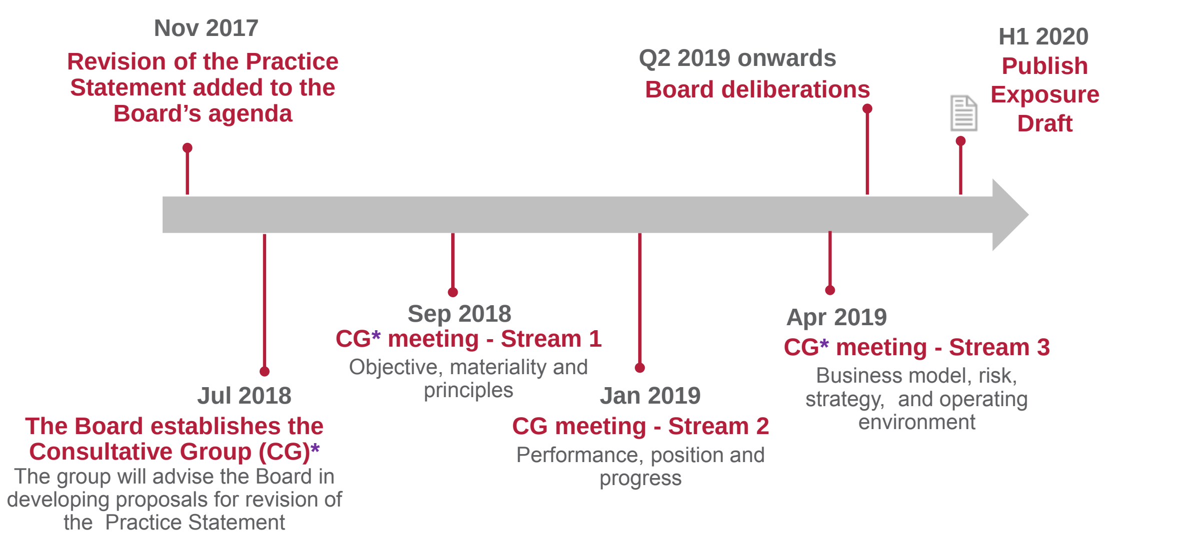
- test the draft guidance for the Board by applying it to **IAS 19 *Employee Benefits*** and **IFRS 13 *Fair Value Measurement***
- publish an exposure draft of amendments to the disclosure requirements in IAS 19 and IFRS 13, and also solicit stakeholder feedback on the draft guidance for the Board on developing disclosure requirements

Disclosure Initiative—Accounting Policy Disclosures

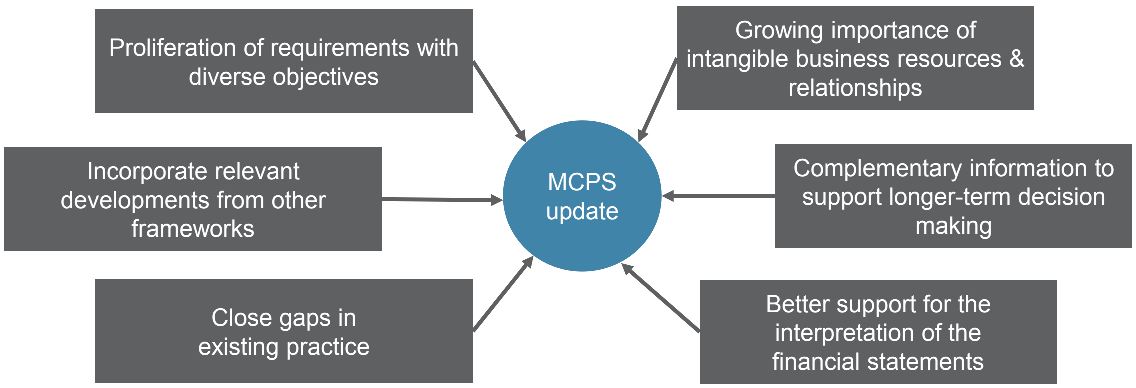
- Users say that accounting policy disclosures today are often not useful
- Stakeholders’ views differ about ‘significant’ accounting policies required by IAS 1

Board’s tentative decisions	
	Clarify that not all accounting policies that relate to material transactions, other events or conditions are themselves material to the financial statements.
	Amend IAS 1 *Presentation of Financial Statements* to require entities to disclose their **material accounting policies** rather than their significant accounting policies.
	Develop guidance and examples for the Materiality Practice Statement. These will explain how to apply the four-step materiality process to accounting policies.

Management Commentary Practice Statement—Project timeline

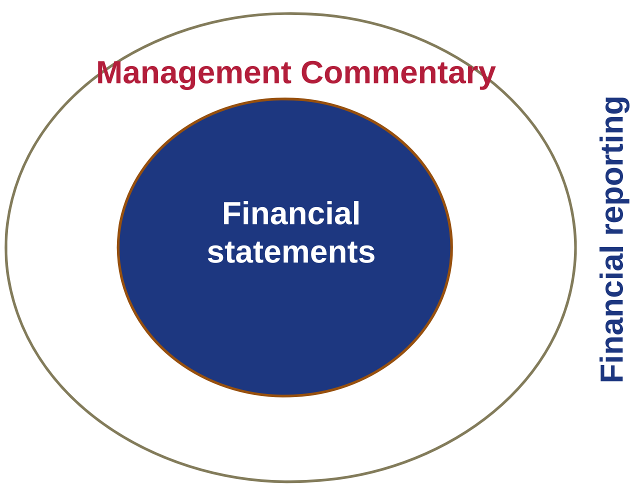


Reasons for updating the Management Commentary Practice Statement



IFRS

Conceptual Framework *Chapter 1*



The objective of financial reporting is to provide financial information to primary users to assess future net cash inflows and management's stewardship

See Conceptual Framework section 1

IFRS

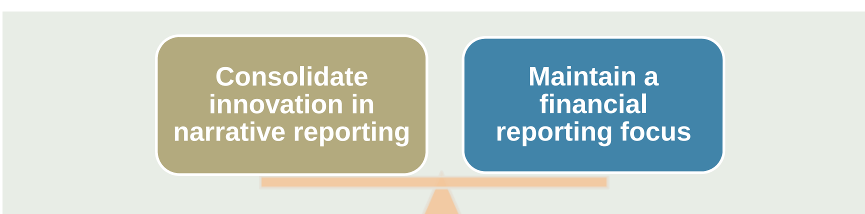
Proposed objective of management commentary

31

The objective of the management commentary is to give context for financial statements by providing primary users with historical financial and operating information and analysis useful for assessing prospects for future net cash inflows and management's stewardship of the entity's economic resources

It is a balancing act …

32



Integrate:
- Key drivers for long-term success
- Impact of specific risks
- Risk management strategy
- Analyses of actual vs strategy

Keep four content elements:
- Business model
- Strategy
- Risks and operating environment
- Performance, position, progress

IFRS® Foundation

The *IFRS for SMEs* Standard

IFRS

The *IFRS for SMEs* Standard

Issued

- July 2009

Previous review

- 1st review *IFRS for SMEs* Standard commenced in 2012
- A limited number of targeted improvements made
- Amended *IFRS for SMEs* Standard issued in Q4 2015

Current stage

- 2nd review *IFRS for SMEs* Standard has commenced

Next steps

- The Board expects to issue a Request for Information in H2 2019

IFRS

IFRS for SMEs 2019 Review—Status

October 2015
Issued amended *IFRS for SMEs* Standard effective 1 January 2017

Q4 2015

January 2019
2019 Review begins

2018

February 2019
The Board
– Project plan for 2019 Review
– Phase 1: issue RFI

Q1 2019

October 2018
Emerging Economies Group
Presented background to *IFRS for SMEs*

January 2019
SMEIG Consultative Group
(Outreach requests)
– Advice on RFI[1] content
– Issues affecting jurisdictions

March 2019
Advisory Council
– Advice on the scope of the *IFRS for SMEs* Standard

[1] RFI = Request for information.

IFRS

(Some) other projects

IFRS

IFRS® Foundation

Supporting Implementation

IFRS

Why we support implementation

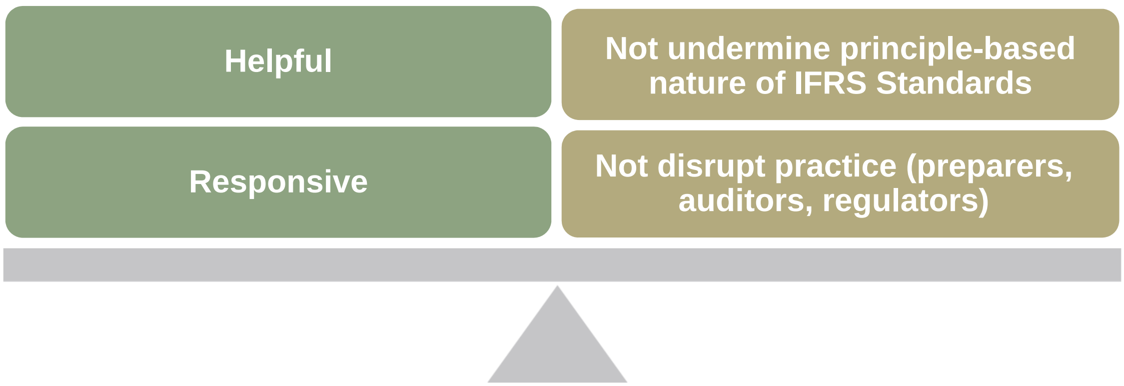
Objective in supporting the Standards

We…	In order to…	Because it…
help stakeholders obtain a common understanding of the requirements - ie what they are aiming for	support consistent application of IFRS Standards	protects IFRS Standards as a single set of global Standards for the benefit of users

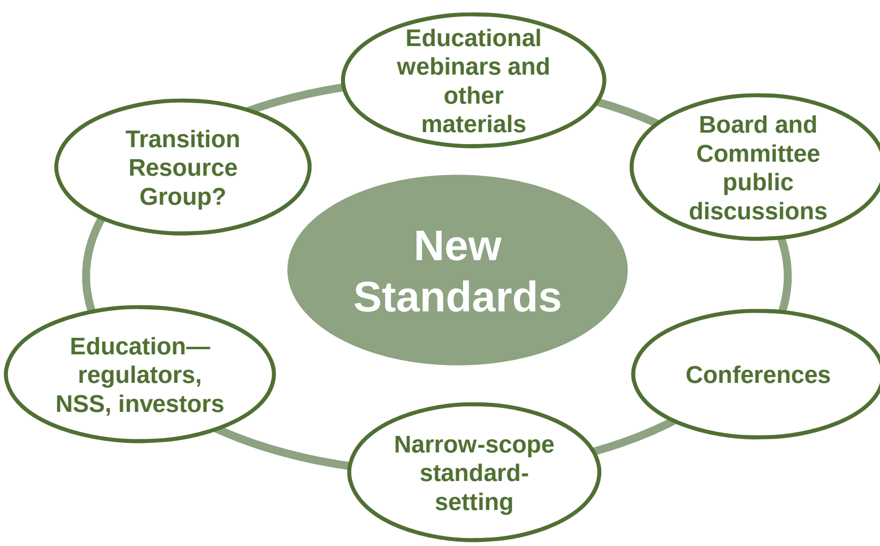
IFRS

The challenge

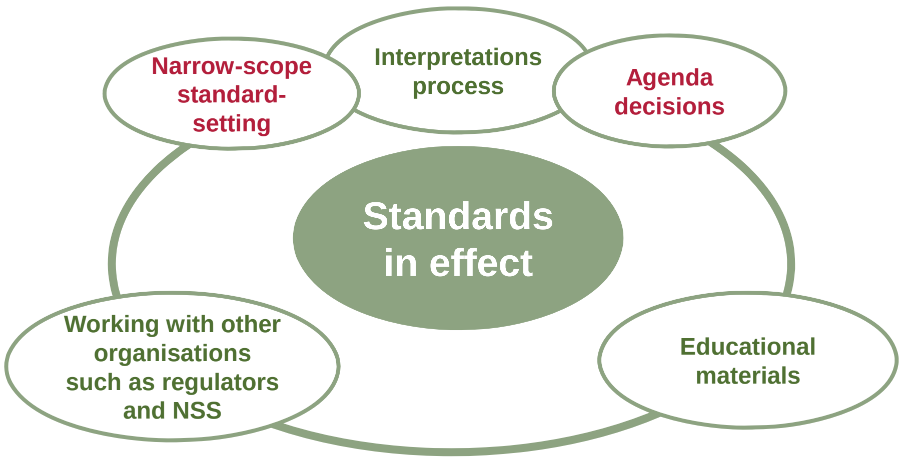
- In supporting implementation and application of the Standards, the challenge for a standard-setter is to balance:



Support for new Standards



Support for Standards in effect



IASB support for IFRS 17 implementation

- Webinars
- Articles and other materials
- Conferences
- Transition Resource Group (TRG)

Education for
- investors
- regulators
- standard-setters
- preparers

IASB discussions
- deferral of effective date to 2022*
- targeted amendments to ease implementation*

Informal technical discussions with
- regulators
- standard-setters
- audit firms
- preparers

* proposed deferral of effective date to 2022 and proposed targeted amendments will be subject to public consultation in 2019

Purpose of the IFRS 17 TRG

43

- Public forum for discussion of submitted questions
- Helps companies to implement IFRS 17
- Helps the Board to identify if more support is needed
- Webcasts, papers and summaries available on web site

IFRS

IFRS 17 easing implementation

44

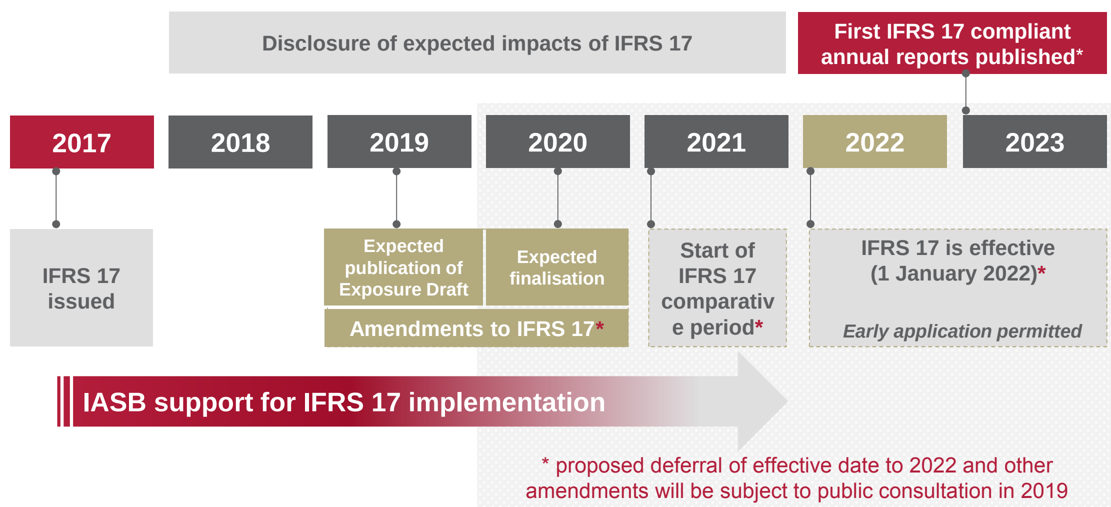
- The Board has discussed concerns and implementation challenges raised and has decided to propose some amendments to IFRS 17 that are narrow in scope and are intended to ease implementation for companies

Deferral of the effective date by one year IFRS 17 IFRS 9 1	**Additional scope exclusions** Loans Credit cards 2	**Acquisition cash flows relating to expected contract renewals** 3	**Profit allocation relating to investment components** 4
Extension of risk mitigation exception 5	**Reinsurance contracts held when underlying contracts are onerous** 6	**Simplified balance sheet presentation** 7	**Additional transition reliefs** Business combinations Risk mitigation—transition date Risk mitigation—fair value approach 8

IFRS

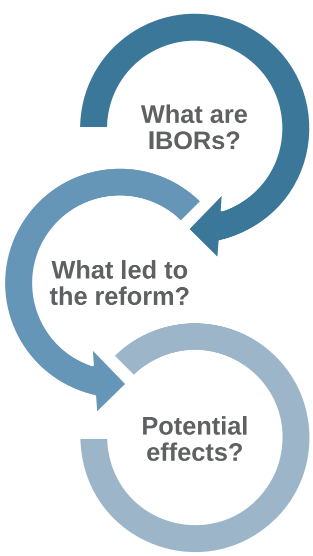
IFRS 17 timeline

45



Background on IBOR Reform ED

46



Interest rate benchmarks such as interbank offer rates (IBORs) play an important role in global financial markets. They index a wide variety of financial products worth trillions of dollars, ranging from mortgages to derivatives.

Market developments have undermined the reliability of existing benchmarks. The FSB has recommended reforms. Some jurisdictions have made progress towards replacing existing benchmarks with nearly risk-free rates (RFRs).

This has led to uncertainty about the future of existing interest rate benchmarks. Such uncertainties have some market implications which may also affect entities' financial reporting.

Two-phase project

The Board identified two groups of accounting issues:

Phase I *Pre-replacement issues*

- Issues affecting financial reporting before the replacement of an existing benchmark with RFR.

Phase II *Replacement issues*

- Issues that might affect financial reporting when an existing benchmark is replaced with RFR.

The Exposure Draft addresses Phase I issues only

Phase I – why the Board is proposing amendments

Uncertainties arising from the reform

Uncertainties around timing and amount of designated future cash flows may affect some hedge accounting requirements.

Potential effects to financial reporting

Entities could be required to discontinue hedge accounting. Entities may also not be able to designate new relationships.

What is the Board's view?

Discontinuation of hedge accounting solely due to such uncertainties could produce information that would not be useful to users of financial statements.

As a result…

The Board decided to propose amending some hedge accounting requirements during this period of uncertainty.

Which issues are addressed? What is proposed?

Forecast transactions

- Reform creates uncertainty about timing/ amount of future cash flows based on IBOR.
- How to consider uncertainty when assessing whether future IBOR cash flows are highly probable?

Prospective assessments

- Hedge accounting requires a notion of offsetting between hedged item and hedging instrument.
- How consider possible changes from reform?

Until uncertainty is resolved assume interest benchmark does not change

Risk components

- If the hedged item is a risk component, then it must be separately identifiable.
- Reform may impact market structure and therefore ability to identify a risk component.

Required to demonstrate separately identifiable only at inception

Other hedge accounting requirements would remain unchanged

Goodwill and Impairment—Project timeline

2009

Entities started implementing revised IFRS 3 *Business Combinations.*

2013

The Board sought stakeholder feedback on specified matters as part of the Post-implementation Review (PIR) of IFRS 3.

2015

The Board set as research objectives exploring whether to consider:

- changing the subsequent accounting for goodwill;
- allowing identifiable intangible assets to be included within goodwill;
- providing better information about goodwill and impairment through disclosures; and
- improving the impairment test in IAS 36 *Impairment of Assets.*

July 2018

Based on key findings from research project the Board decided to pursue three objectives for follow-up work and to issue a Discussion Paper as the next step of the project.

2019

The Board will continue its discussions on how to achieve the project objectives and work on drafting a Discussion Paper.

Goodwill and Impairment—Objectives for the project

✓ The Board has tentatively decided to pursue three objectives to address the interrelated problems identified in the research. The objectives are**:**

Objective A	Identifying **disclosures** to enable investors to assess: • management's rationale for the business combination; and • whether the post-acquisition performance of the business combination meets expectations set at the acquisition date
Objective B	Simplifying the accounting for goodwill by exploring whether to: • permit an **indicator-only** approach to determine when an impairment test is required; and/or • **reintroduce amortisation of goodwill**
Objective C	Improving the calculation of **value in use** by exploring whether to: • remove the prohibition on the inclusion in cash flow projections of future enhancements to the asset; and • permit the use of post-tax inputs in the calculation of value in use

Disclosures to support assessing acquisition performance

Any auditability concerns?

Acquisition – current
- Primary reasons
- Consideration
- Amount of each class of A/L
- Post acquisition revenue, p&l included in group

Improve application

Acquisition – possible new
- Link to business strategy
- Expected synergies and costs to achieve
- Key objectives: targets for acquisition
- Measures to be used to assess performance vs targets

Subsequent performance – possible new
- For two years post acquisition, actual results of measures of target

Enhancing acquisition disclosures – feedback

users

- Need better information, particularly on subsequent performance of acquisitions
- Support staff suggestions

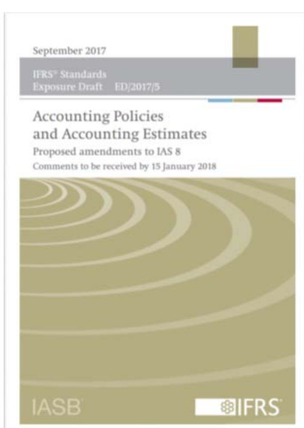
preparers

- Disclosures need improvement but…
- Concerns re: commercial sensitivity, costs to track synergies and isolate post-acquisition performance, limits on forward-looking information

regulators & auditors

- Is info re: expected targets, measures of targets forward looking information?
- Should this information be outside f/s?
- Any auditability concerns regarding new disclosures?
- How to improve practice?

Accounting Policies and Accounting Estimates—Proposals



Proposed amendments would clarify:

- How accounting policies and accounting estimates relate to each other
- Selecting an estimation technique (or valuation technique) constitutes making an accounting estimate
- Selecting the inventory cost formulas in IAS 2 constitutes selecting an accounting policy

Accounting Policies and Accounting Estimates

Feedback on the Exposure Draft

Amendments help clarify the distinction between accounting policies and estimates.

However:

- concerns on particular aspects
- request for additional clarity
- request for illustrative examples
- questions on cost/benefits of proposed amendments.

IFRS

Accounting Policies and Accounting Estimates

Staff's proposals

Revise definition of accounting estimates

Monetary amounts subject to **measurement uncertainty**

Output of **measurement techniques** used in **applying accounting policies**

Judgements and **assumptions** are used in selecting and applying measurement techniques

Additional clarifications

Changes in inputs or measurement techniques are changes in estimates if resulting from new information.

Estimation and valuation techniques are examples of measurement techniques.

Other proposals

- Develop illustrative examples
- Not amend definition of accounting policies
- Not address change in inventory cost formulas

Next steps

Board to consider proposals at a future meeting.

IFRS

IFRS® Foundation

Other projects

IFRS

Other maintenance standard-setting projects

ED forthcoming

- Deferred Tax Related to Assets and Liabilities from a Single Transaction (IAS 12)
- Fees in the 10% Test for Derecognition (IFRS 9)
- Lease Incentives (IFRS 16)
- Subsidiary as a First-time Adopter
- Taxation in Fair Value Measurements
- Updating a Reference to the CF

Comment period closed

- Onerous Contracts, Costs of Fulfilling a Contract (IAS 37)
- Accounting Policy Changes Availability of a Refund (IFRIC 14)
- Current/non-current classification of liabilities
- PPE: Proceeds before Intended Use (IAS 16)

IFRS

Other projects

Standard-setting

- Rate-regulated Activities

Research

- Business Combinations Under Common Control
- Dynamic Risk Management
- Extractive Activities
- Financial Instruments with Characteristics of Equity
- Pension Benefits that Depend on asset Returns
- Provisions
- Subsidiaries that are SMEs

Post-implementation reviews

Completed —no action	Completed	Future PIRs
IFRS 8	IFRS 3	IFRS 10, 11, 12
IFRS 13		IFRS 5

Completed projects

The Board issued the following project summaries in 2019:

- Discount rates
- Improvements to IFRS 8 *Operating Segments*
- Disclosure Initiative—Principles of Disclosure

Supporting resources

Resources available on our website

New website
www.ifrs.org

Video

Leaflet
Supporting IFRS Standards

Supporting materials sorted by Standard

IFRS Standards | IFRIC Interpretations | News and events

For example, for IFRS 9 *Financial Instruments*

- Webinars
- Articles
- Transition Resource Group
- Agenda decisions

www.ifrs.org/supporting-implementation/supporting-materials-by-ifrs-standard/ifrs-9/

IFRS® Standards

IFRS Standards Required
1 January 2019 (Blue Book)

The Annotated IFRS® Standards
Required 2019 (Blue)

Join the IFRS Foundation team

visit go.ifrs.org/careers

IFRS

Get involved

Find out more: www.ifrs.org

Follow us: @IFRSFoundation

IFRS Foundation
International Accounting Standards Board

IFRS Foundation

IFRS Foundation

Join our team: go.ifrs.org/careers

IFRS